

THE HARD ASSET LETTER — TIDEBRIDGE'S PUBLICATION

Gold in Correction: A Fifty-Year Perspective

Deep Dive | June 2026 | For information and education — not investment advice

Executive Summary

Gold has corrected approximately twenty-five per cent from its late-January record near \$5,600 per ounce. The instinctive reading — that the metal has failed as a crisis hedge precisely when the crisis arrived — inverts the historical record. Across every major geopolitical and monetary shock of the past half-century, gold has fallen in the opening phase, sold as the most liquid profit in a deleveraging world, before recovering as the monetary consequences of the shock unfolded. The depth of the present decline already exceeds every single-episode crisis drawdown in that record except 1973; the sentiment, positioning and flow indicators that have historically marked the terminal phase of such declines are at or near their decade extremes; and the two episodes that most resemble this one in structure — 1973 and 1979, each an oil shock arriving after a powerful preceding advance — were followed by the strongest recoveries in the dataset.

PART I — THE METAL: HISTORY, MACHINERY AND THE POLICY INFLECTION

1. The Full Fifty-Year Record

The letter showed what gold did in each crisis dip and the year that followed. The complete dataset adds the dimension the summary omitted: what gold had done before each episode — the column that identifies the present correction's true relatives.

Episode	Peak → Low	12M before	24M before	Peak-to-trough	+12M	+24M
1973 OPEC embargo	Jul-73 → Nov-73	+92%	+210%	-29%	+100%	+58%
1979 Iranian Revolution	Oct-78 → Nov-78	+54%	+110%	-19%	+99%	+219%
1991 Gulf War	Aug-90 → mid-91	+13%	-4%	-14%	-3%	+8%
2001 September 11	Sep-01 → Nov-01	+7%	+11%	-7%	+17%	+45%
2016 washout	Sep-11 → Dec-15	+54%	+92%	-46%	+8%	+21%
2018 washout	Apr-18 → Aug-18	+7%	+10%	-15%	+29%	+67%
2020 COVID	Mar-20 → Mar-20	+31%	+29%	-15%	+20%	+34%
2022 Fed / Ukraine	Mar-22 → Sep-22	+22%	+38%	-22%	+20%	+65%
2026 (in progress)	Jan-26 → ?	+104%	+175%	-25% so far	?	?

Exhibit 1 — Gold around crisis peaks and washout lows, 1973–2026. Approximate London fix/spot; sources: LBMA, author calculations. Past performance is not indicative of future results.

Three structural readings emerge from the table, each load-bearing for what follows. The first concerns depth: excluding the four-year secular bear that ended in 2015, the average crisis drawdown across the sample is roughly 17%, and the deepest single episode — 1973 — reached 29%. At 25% over four and a half months, the present correction is already mature by every historical standard; statistically, the question is not whether the washout has begun but how much of it remains. The second concerns sequence: in every episode, the capitulation extremes in sentiment and positioning arrived near the end of the decline, not its beginning — the signal, once the drawdown exceeded roughly 15%, has historically carried little lead-time risk. The third concerns lineage. Read down the 'before' columns: only 1973 and 1979 were preceded by an advance of the magnitude seen into January 2026, and only 1973 and 1979 were set in motion, as this episode was, by an oil shock pushing inflation up faster than the monetary response. Those two episodes produced the two strongest recoveries in fifty years of data. The 1991 entry is preserved deliberately — it is the episode proving that conflict alone settles nothing, and it anchors the final section of this paper.

2. The Engine Room, Extended

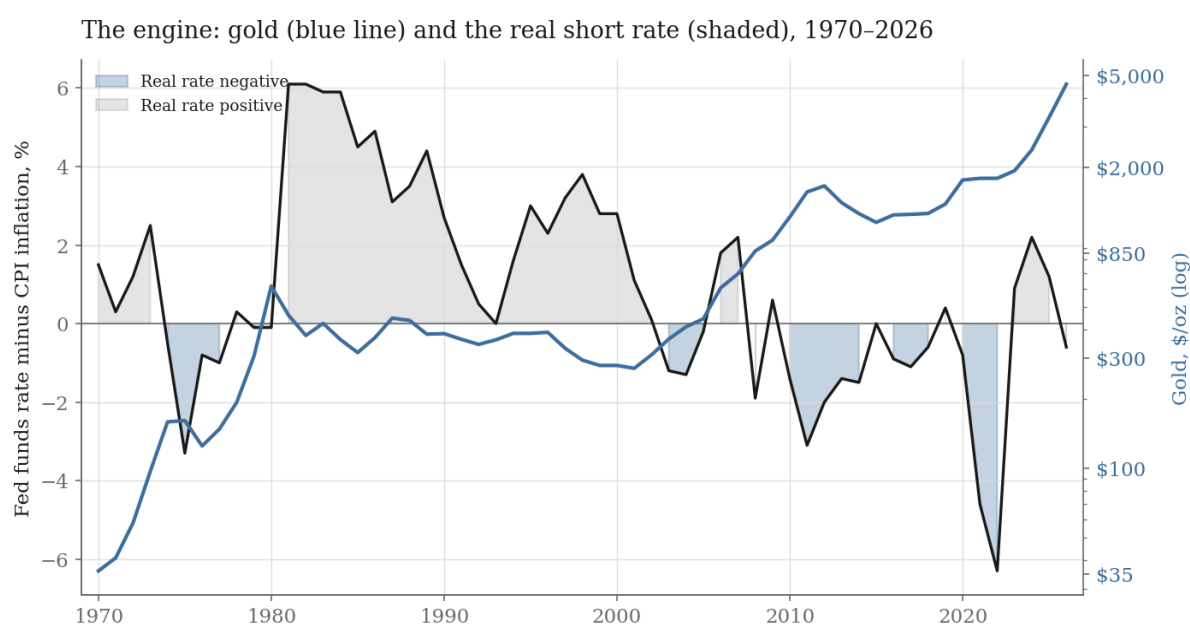


Exhibit 2 — Gold (blue line, log scale) and the real short rate (Fed funds minus CPI; shaded where negative), 1970–2026. Indicative annual data: Federal Reserve, BLS, LBMA, author calculations.

Gold pays nothing, and that single fact organises five decades of price history. The metal's competition is the risk-free rate, and the contest is decided in real terms. When cash earns visibly more than inflation — the regime Paul Volcker inaugurated in 1980 and that held, with interruptions, for two decades — gold carries a real cost every year it is held, and capital drains from it slowly and relentlessly regardless of the geopolitical weather. When cash earns less than inflation, the calculus inverts: every conventional alternative loses purchasing power, and the asset with no yield, no issuer and no default risk becomes the one asset that cannot disappoint. The 1970s were the extreme case. Nominal rates rose repeatedly across the decade — the funds rate touched double digits twice — yet never caught the inflation created by two oil shocks; real rates spent the decade pinned below zero, and gold rose seventeen-fold. The lesson generalises with uncomfortable precision: every durable gold advance of the past fifty years was built on a negative or falling real rate, and every durable decline on its restoration.

The configuration of mid-2026 sits exactly at the hinge. Consumer inflation has accelerated above four per cent on the energy shock while the policy rate stands in the mid-threes; the real short rate has slipped below zero for the first time since 2022 — in the same quarter that gold corrected by a quarter. The divergence is the analytical heart of this paper: the price has moved as though the inflation-fighting regime were being restored, while the underlying real-rate arithmetic has moved the other way. One of the two will prove correct, and the question of which is not a matter of conjecture but of observable policy choices — the subject of Section 4. Before that, the mechanics of the decline itself deserve inspection, because the identity of the sellers bears directly on the durability of their selling.

3. Anatomy of the Selling

A correction of this size invites a question the headlines rarely answer: who, exactly, has been selling? The composition matters because the historical record treats different sellers very differently — and the evidence here is unusually legible.

The leveraged community. Gold entered 2026 as one of the most widely held and most profitable institutional positions in the world, accumulated through the 2024–25 advance and turbocharged by December's squeeze in silver. When volatility erupted simultaneously across rates, currencies, equities and commodities this spring, value-at-risk models everywhere demanded smaller books at once, and the position sold in such moments is always the same one: liquid, profitable, crowded. Gold became the cash machine of the deleveraging — the precise role it played in 2008 and 2020. Its failure as a short-term hedge is, perversely, the evidence of how well it had performed: it was sold because it was the asset with gains available to fund losses elsewhere.

The machines. Trend-following and systematic strategies carried near-record gold length into the January peak. As price broke successive moving averages, those signals reversed mechanically; estimates from sell-side positioning monitors place systematic length at a fraction of its peak, with the residual triggers concentrated just below current prices. This selling is price-insensitive by construction and exhausts by saturation: once the systems are short, they are spent as a source of supply — historically the precondition for the violent reversals that follow such episodes.

The fund investor. Western gold ETFs surrendered roughly eighty tonnes over a few weeks of the spring — redemptions led by the same North American funds that had absorbed record inflows during the advance — while exchange positioning data showed managed-money and retail-proxy categories liquidating in parallel. Flow attribution models run by industry bodies found the price decline overshooting what real rates and the dollar alone would explain by a double-digit residual: the statistical fingerprint of forced, rather than fundamental, selling.

The distressed official seller. The novel participant. Several oil-importing central banks, their currencies strained by the energy shock, have liquidated portions of their gold reserves to defend exchange rates — flows measured in the tens of tonnes from Ankara to Manila, alongside sustained sales from one sanctioned producer funding a war economy. This supply is real, but its character matters: it is distress selling, tied by construction to the oil price that created it, and it reverses with the pressure that forced it.

The fundamental seller. Beneath the mechanics sits the one seller whose persistence would matter: the investor responding to hawkish repricing — the prospect that the policy rate rises to meet the inflation and restores a positive real rate. This is the only seller in the list whose thesis, if validated, converts a violent cleaning into a durable bear market. The record's verdict on composition is unambiguous: declines dominated by forced and mechanical selling have historically reversed fastest, because once the leverage is cleared and the machines are short, no seller remains beneath the market — 1974 and 2020 had exactly this shape. The durability

question therefore reduces, once again, to the real-rate question. Which makes the next section the pivot of the paper.

4. The Policy Inflection: Easing Without Easing

The Federal Reserve meets under a new chairman with markets priced for tension: strong employment data has lifted the implied odds of rate increases even as the administration that appointed the chairman has made its preference for lower rates unambiguous, and the committee he inherits is described by close observers as the most divided in a generation. The conventional reading frames the meeting as a binary — tighten against the inflation, or accommodate it. There is a third path, and it is the one professional listeners should be tuned for, because the chairman's long-stated views point directly at it: **a central bank can ease financial conditions substantially without touching the policy rate at all, by redesigning the plumbing instead.**

4.1 The mechanics of the third path

Two instruments dominate that toolkit, and they fit together like lock and key. The first is **interest on reserves**. The Federal Reserve currently pays banks approximately the policy rate on more than three trillion dollars of reserve balances — a transfer in excess of one hundred billion dollars a year, an arrangement the new chairman has publicly criticised for years as a subsidy that pays the banking system to sit still. Eliminating or sharply reducing it accomplishes three things simultaneously: it pushes banks out of idle reserves and into bills, loans and money markets, compressing front-end yields; it restores the central bank's remittances to the Treasury, visibly easing the federal interest bill; and it can be presented politically as ending a privilege of banks rather than as monetary accommodation. The second instrument is the **supplementary leverage ratio**. Exempting Treasury securities and reserves from the most stringent leverage requirements — offered to the banks as compensation for the lost remuneration — expands, almost without limit, the balance-sheet capacity of the banking system to warehouse government debt. A durable, regulation-mandated bid for Treasuries appears; term premia compress; the sovereign's financing constraint loosens. Neither step is a rate cut. Together they are functionally equivalent to one — financial conditions ease and the yield curve is capped from above — while the policy rate, the only number the evening news reports, stands still or even rises.

One technical honesty strengthens rather than weakens the framework. Interest on reserves is, today, the very instrument through which the Fed controls its policy rate in an ample-reserves system; removing it forces a choice between shrinking the balance sheet dramatically or tolerating volatile money markets. Any serious move in this direction therefore arrives packaged — reserve-remuneration reform paired with leverage relief and a redesigned operating framework. If the June communication pairs criticism of reserve remuneration with regulatory generosity toward bank holdings of government debt, the third path is being paved, whatever the rate decision says.

4.2 Why this changes gold's response function

For four decades gold has traded primarily off the level and direction of real policy rates — the relationship in Exhibit 2. That relationship presumes a central bank free to set rates against inflation. The third path quietly suspends the presumption: yields cease to be a market price of inflation risk and become a managed quantity, held down by regulation and plumbing while inflation runs where the supply shock takes it. In such a regime the gap between inflation and yields — the variable gold feeds on — widens by design rather than by accident, and gold stops trading the level of rates and starts trading **the integrity of the boundary between the central bank and the treasury.**

History has run this experiment, twice, in instructive directions. From 1942 to 1951 the Federal Reserve pegged the entire Treasury curve to finance the war and its aftermath; when inflation surged past ten per cent in 1947, real yields collapsed to the most negative levels in American history, and the arrangement ended only with the Treasury–Fed Accord of 1951 — the document that created the modern boundary. In the 1970s the boundary held on paper but bent in practice: a Federal Reserve under sustained political pressure repeatedly declined to tighten ahead of elections, and the decade's monetary subordination — more than any single embargo — is what carried gold from thirty-five dollars to eight hundred and fifty. The lesson is symmetrical and should be stated both ways. When markets came to believe the boundary had been restored — 1951, and again after 1980 — gold's great advances ended. When markets came to doubt it, they began. The June meeting will not announce a regime. But the vocabulary it uses — 'subsidy' applied to reserve remuneration, remittance arithmetic presented as virtue, balance-sheet language emphasising composition over size, regulatory relief paired with funding-market commentary, any reference however oblique to coordination with the Treasury's issuance calendar — will tell attentive listeners which way the boundary is leaning. None of those phrases would move the policy rate. All of them would move the boundary, and the boundary, not the rate, is what the gold market would reprice.

5. The Structural Bid

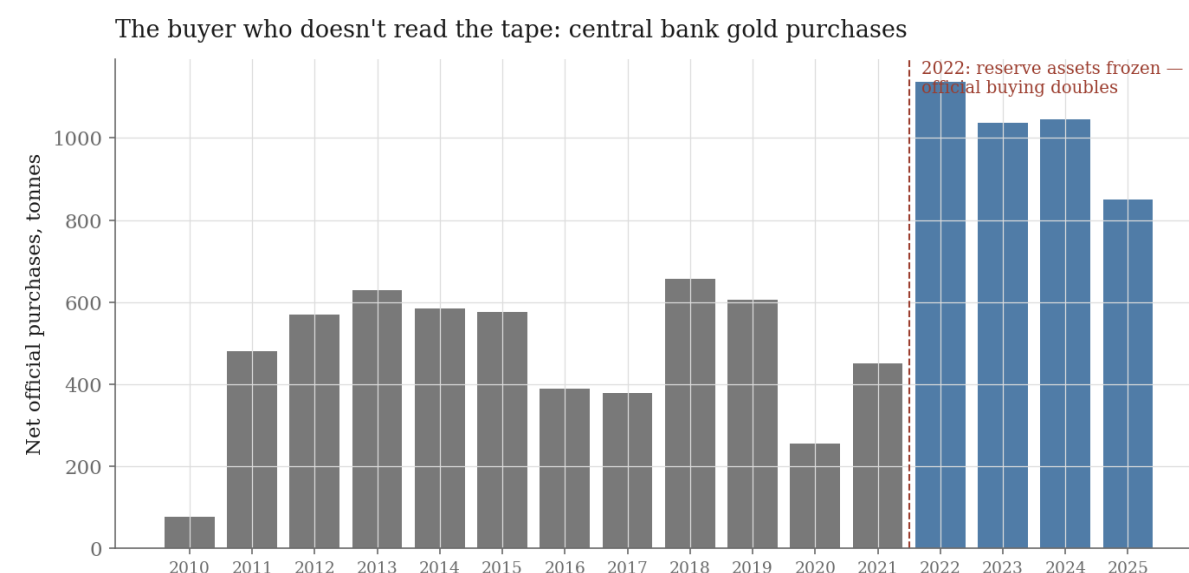


Exhibit 3 — Net central bank gold purchases, tonnes, 2010–2025. Indicative data: World Gold Council, author calculations.

Every previous episode in Exhibit 1 played out against an official sector that was selling gold or absent from it; through the 1990s, European central banks disposed of thousands of tonnes near the lows of the cycle. The freezing of roughly three hundred billion dollars of Russian reserve assets in 2022 ended that world permanently: a sovereign's savings, held in another sovereign's currency, were demonstrated to be conditional. Official purchases doubled to approximately one thousand tonnes a year — between a fifth and a quarter of annual mine supply — and have held near that pace for four consecutive years. By late 2025 the gold held by non-US central banks exceeded the market value of their US Treasury holdings, a crossover without precedent in the post-war monetary order. The present correction has sharpened rather than blurred the picture: the official-sector sellers are the distressed — those defending currencies against the oil shock — while the strategic accumulators have continued through the decline, with Chinese imports and reported official purchases accelerating through the spring. The asymmetry deserves emphasis: the distress selling is conditional on oil remaining elevated and reverses with it; the strategic buying

is conditional on a geopolitical fact — the precedent of reserve confiscation — that cannot be undemonstrated. A price-insensitive buyer of this scale existed in none of the eight prior episodes. It does not prevent corrections, as the spring has shown. It determines what they fall onto.

PART II — THE PRODUCERS: THE LEVERAGED EXPRESSION

Everything to this point concerns the metal. Professional allocators, however, have rarely captured gold cycles through the metal alone, because the producers offer something bullion cannot: operating leverage. A mining company's value is a claim on the margin between the gold price and the cost of extraction; when the price moves, the margin moves by a multiple, and the equity by a multiple of that. The leverage cuts both ways — which is why the sector's drawdowns dwarf the metal's — and it is why the condition of the industry at the moment of a washout matters as much as the washout itself.

6. The Equity Drawdown in Context

The principal mining equity index peaked at an all-time high in early March 2026 — notably five weeks after the metal's own peak, as record fourth-quarter results and capital-return announcements briefly decoupled the equities from bullion — and has since declined roughly a third, against a quarter for gold. Several features of the decline are diagnostic. The realised downside beta, at roughly 1.3 times the metal, sits at the very bottom of the sector's historical 1.5–2.5 times range: the margin cushion documented below has visibly dampened the equities' usual amplification. The decline's microstructure carries the signature of capitulation rather than distribution — single sessions with intraday ranges near seven per cent on elevated volume, the pattern of forced liquidation rather than patient exit. And sector sentiment has reached the extremes that have historically mattered: the bullish-percent measure of the mining group has spent the decade above ten per cent in all but four brief windows — January 2016, September 2018, March 2020 and September 2022 — and has now entered the fifth.

Sentiment washout	Reading	Mining index +1M	Mining index +3M	Context
January 2016	~4%	+30%	+70%	End of four-year bear; sector -80% from 2011 peak
September 2018	~7%	+15%	+22%	Slow five-month grind; weakest of the four
March 2020	~3%	+50%	+55%	Eight-session liquidation; fastest recovery
September 2022	~5%	+20%	+40%	Six-month decline into a tightening cycle
June 2026	single digits	?	?	-33% in three months; capitulation microstructure

Exhibit 4 — Decade washouts in mining-sector sentiment and the forward returns that followed. Approximate index data; author calculations. Past performance is not indicative of future results.

The asymmetry in that table — average forward returns of roughly thirty per cent at one month and close to fifty at three, with the weakest observation still meaningfully positive — is among the strongest tactical statistics anywhere in listed markets, and it has a clean structural explanation: at single-digit breadth, the marginal seller is exhausted almost by definition. Two refinements matter for professionals. The forward returns were strongest where the preceding decline was fast and violent (2020) or terminal after long suffering (2016), and weakest after a slow grind (2018); the present decline — a third in three months — belongs to the former family. And the recoveries were front-loaded: between a third and a half of the first year's gain has typically arrived in the opening six weeks, before the macro narrative visibly turned. That front-loading is the historical argument

against waiting for complete macro confirmation — and equally the argument for the staged approaches described in Section 10.

7. An Industry at Record Margins

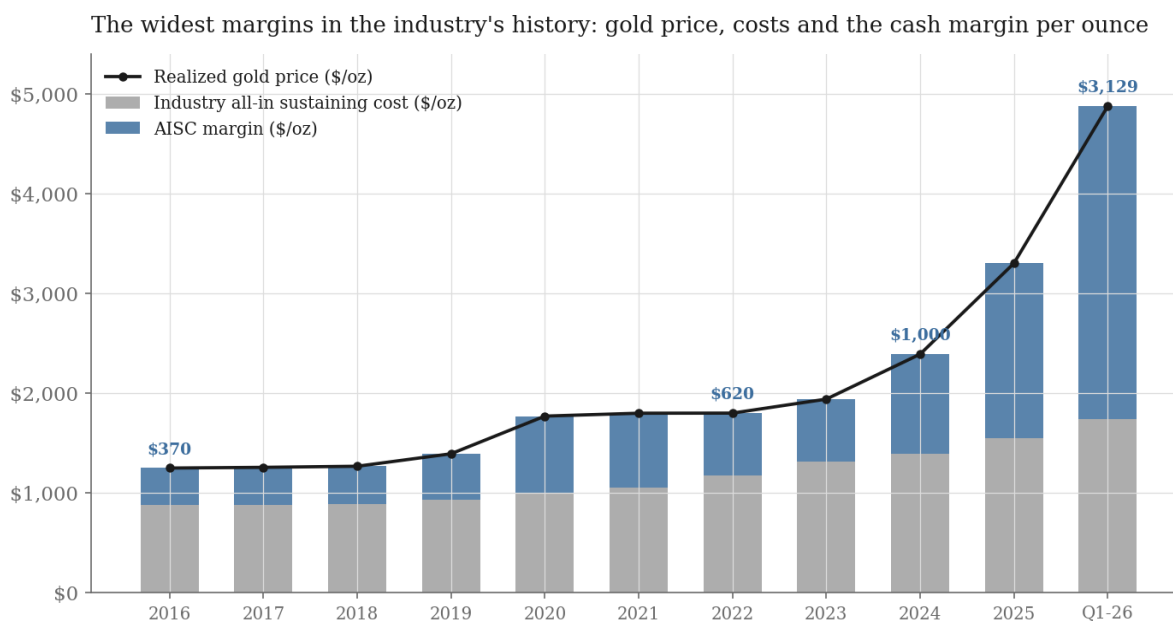


Exhibit 5 — Realized gold price, industry all-in sustaining costs and the cash margin per ounce, 2016–Q1 2026. Indicative data: company reports, aggregated senior-producer disclosures; author calculations.

First-quarter 2026 reporting established, without rhetorical exaggeration, the strongest fundamental quarter in the industry's history. Across the twenty-five largest constituents of the principal mining index, all-in sustaining costs averaged roughly \$1,744 per ounce against realized prices near \$4,873 — a cash margin in excess of \$3,100 per ounce, with costs absorbing just thirty-six per cent of the gold price. For perspective: the full-year 2024 margin, itself a record at the time, was roughly \$1,000. The cash generation that follows from such arithmetic is visible in individual disclosures across the senior cohort — one major produced over three billion dollars of free cash flow in a single quarter, a company record; another more than doubled its free cash flow year-on-year to over eight hundred million dollars at margins near \$3,500 per ounce while repurchasing a quarter of a billion dollars of stock; a third reported costs down four per cent year-on-year even as the sector's nominal cost base rose. Even at the corrected spot price near \$4,200, the arithmetic yields margins around \$2,450 per ounce — two and a half times the 2024 record — on an industry whose share counts are flat to shrinking.

7.1 The royalty stabiliser: why costs fall when the price does

The quarter's headline cost inflation — all-in costs up roughly a quarter year-on-year — invites a misreading that the detail corrects. The bulk of the increase was not operational but contractual: price-linked royalties and profit-sharing arrangements that scale with the gold price itself. One major producer disclosed royalties absorbing a quarter of total operating costs; at another, royalty payments rose 126 per cent year-on-year; mine-level analyses attribute between two-thirds and five-sixths of the sector's unit-cost increase to royalty escalation alone. The implication is asymmetric and favourable at precisely this point in the cycle: as the gold price falls, this cost component deflates mechanically, cushioning margins on the way down — a stabiliser no previous cycle possessed at this scale. The genuine cost risks are identifiable and modest by comparison: diesel exposure to the oil shock (one senior discloses sensitivity near ten dollars per ounce for

each ten dollars per barrel) and labour with a lag. Underlying operational discipline, measured ex-royalty, remains intact.

7.2 The margin arithmetic across prices

Gold price	Modelled AISC	Cash margin / oz	vs Q1-26 margin	vs FY-2024 margin
\$3,600	~\$1,690	\$1,910	-39%	+91%
\$4,200 (spot area)	~\$1,735	\$2,465	-21%	+147%
\$4,800	~\$1,785	\$3,015	-4%	+202%
\$5,400	~\$1,830	\$3,570	+14%	+257%

Exhibit 6 — Industry margin arithmetic at different gold prices. AISC modelled as ~\$1,400/oz of price-independent cost plus ~8% of the gold price in royalty-linked components, calibrated to Q1-26 disclosures. Static sensitivity, not a forecast. Source: company reports, author calculations.

The table is arithmetic, not prediction, and its message is the asymmetry: even at gold prices a further fifteen per cent below spot — beneath every crisis low in the fifty-year sample relative to the preceding peak — the industry's margin would remain nearly double its 2024 record. The downside in the business, as opposed to the equity price, is shallow; the upside reconnects mechanically to any recovery in the metal. That asymmetry between business risk and price risk is the analytical core of the mining case at this correction.

8. What the Equities Are Discounting

Reverse-engineering the gap, applying historical mid-cycle multiples to current equity prices implies an embedded long-term gold assumption in the region of \$3,700–3,900 per ounce — below every technical and structural support discussed in this paper, and at a level where the margin arithmetic above would still show the industry earning twice its 2024 record. On conventional metrics the dislocation is equally visible: the senior cohort trades in the region of 5 to 7 times enterprise value to operating cash flow with double-digit free-cash-flow yields — multiples last observed at the 2022 lows — against 8 to 10 times at comparable points of prior cycles; the intermediate and developer cohorts trade at deeper discounts still, with several fully financed development assets marked below half of their net asset value on spot-price assumptions. Equity markets, in short, have priced the bear case for the metal into businesses whose cash generation would survive it.

8.1 Why this is not 2013

The standing objection to gold equities — that the industry converts high prices into value-destructive growth — described the 2011–13 cycle accurately and describes the current one not at all. The contrast deserves itemising, because it is the difference between a sector that compounds a recovery and one that squanders it. Then: top-of-cycle acquisitions at full premiums, ballooning development budgets, rising share counts, net debt across the cohort, and costs that chased the gold price upward until margins vanished. Now: free cash flow directed first to shareholders — formal return policies committing meaningful fractions of cash flow to dividends and buybacks are standard across the senior cohort — net cash or near-net-cash balance sheets, growth capital confined to brownfield expansions with measured returns, merger activity that has remained bolt-on and discipline-priced, and share counts that fall. The structural consequence for an allocator is direct: per-share leverage to a recovering gold price is higher today than at any prior cycle entry in the modern record, because for the first time the denominator is shrinking while the margin expands.

8.2 The spectrum of expression

Professional allocators distinguish four strata within the sector, ordered by operating leverage. Royalty and streaming companies — owners of revenue interests rather than mines — carry the lowest beta, structural insulation from cost inflation, and the steadiest compounding; their premium ratings have compressed with the complex, an uncommon occurrence. Senior producers offer liquid, diversified exposure to the margin story with the strongest capital-return programmes. The intermediate producers historically present the widest gap between valuation and cash generation — and, as senior free cash flow accumulates, they are where consolidation interest naturally migrates. Junior developers and explorers carry the highest beta and the deepest current discounts, with the important caveat that their financing access is itself cyclical and returns with the sector's recovery rather than ahead of it. The strata behave differently enough through a cycle's turn that the historical pattern of professional positioning has moved down this ladder as confirmation accumulates — a sequencing logic, not a recommendation, recorded here because it recurs in every recovery in the dataset.

9. The Technical Map

Macro frameworks say nothing about sequence; for that, professional desks lean on market structure, and the structure of the gold chart in June 2026 is unusually well defined.

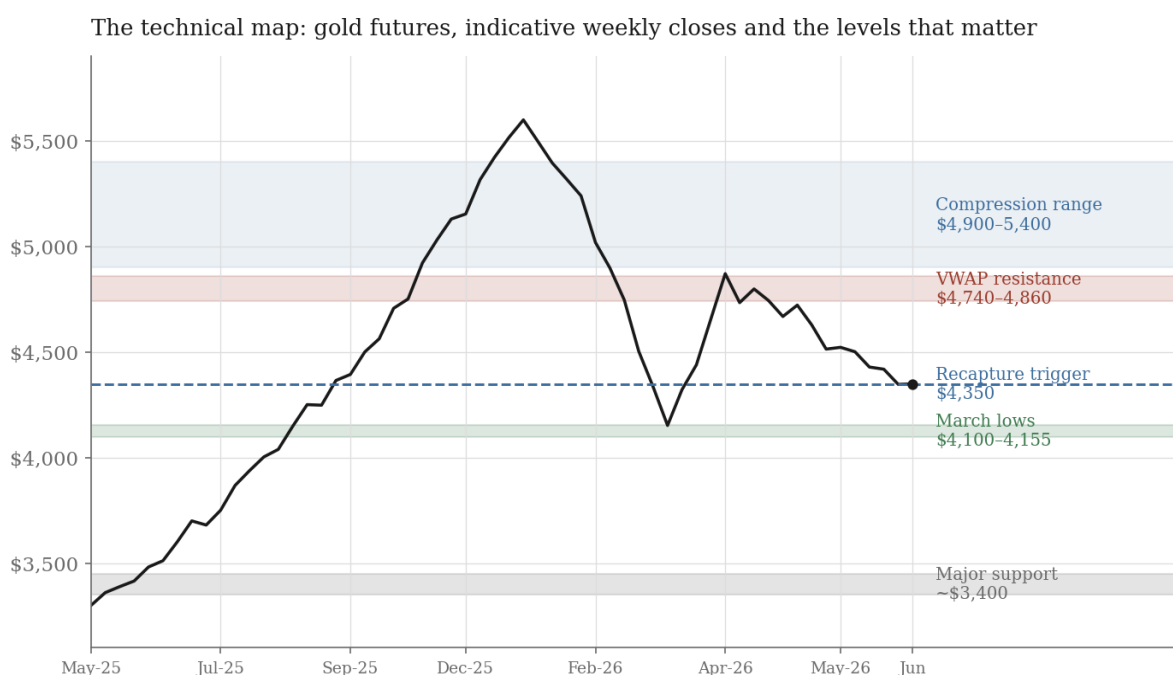


Exhibit 7 — Gold futures, indicative weekly closes, May 2025 – June 2026, with principal technical zones. Author illustration; levels approximate.

The Wyckoff template: accumulation, spring, breakout, markup (schematic)

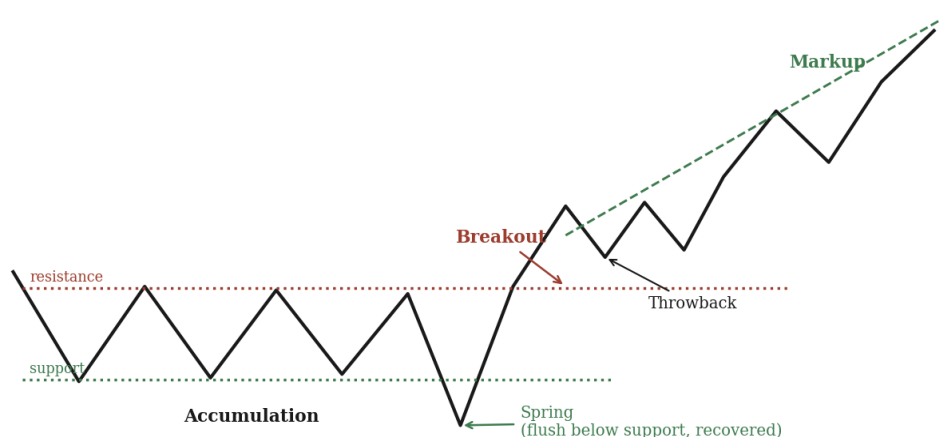


Exhibit 8 — The Wyckoff accumulation template (schematic, author illustration).

The setup below — the spring. Price has spent three months building a range above the March lows around \$4,100–4,155, currently pressing the range floor near \$4,350. In the Wyckoff grammar of accumulation, the most constructive resolution of such a structure is, counterintuitively, a downside break that fails: a fast flush through the lows finding no follow-through, recaptured within days — the spring, the terminal shakeout that transfers the last weak holders to strong ones. Applied here, a high-velocity flush toward \$4,100 followed by a recapture of \$4,350 would complete the pattern; desks working in this framework treat such a sequence as the strongest confirmation a base can offer. Velocity is the discriminator throughout, and it connects directly to Section 3: forced selling is fast, fundamental selling is slow. A violent flush is the signature of a liquidation exhausting itself; a slow leak through the same level is the signature of the fundamental seller still in charge.

The work above — resistance and compression. The first obstacle overhead is the band of volume-weighted average prices anchored to the January and March highs, roughly \$4,740–4,860 — the average entry of the cycle's late buyers, and therefore the zone where recovery rallies meet supply from trapped longs, as April's rebound demonstrated. A recapture of that band with velocity would invert its meaning, converting overhead supply into support; the constructive continuation thereafter is not an immediate assault on the highs but a period of volatility compression in the \$4,900–5,400 range — narrowing weekly bars, declining volume, energy accumulating — the pattern that has historically preceded durable breakouts rather than the V-shaped surges that fail.

The line that changes the discussion. Symmetry requires the other side. Multiple weekly closes below the March lows, without the high-velocity capitulation that defines a spring, would invalidate the accumulation reading and convert the range into distribution; the next shelf of consequence sits near \$3,400 — the breakout zone of spring 2025 and, not coincidentally, the area where this paper's macro sections locate the thickening of the structural bid. The technical map and the monetary history, constructed independently, point at the same floor. That is usually what a level looks like when it matters. For the mining equities, the same grammar applies one derivative higher: the equity index's ratio to the metal — which has led every major turn in the sector — basing and turning while bullion completes its work below would be the structural market's confirmation that the washout has run its course.

10. Synthesis: When the Lines Converge

Investment history rarely offers single decisive signals; what it offers, occasionally, is convergence — independent lines of evidence, constructed from unrelated data, pointing in the same direction at the same time. The reader who has followed this paper from the beginning will have counted six. The historical record: a drawdown already deeper than every single-episode crisis decline in fifty years except one, in the only configuration — an oil shock after a parabolic advance — that matches the two most rewarding precedents in the sample. The real-rate machinery: a real short rate back below zero, with the gap positioned to widen if policy lags the supply shock as it did in the only true analogues. The policy inflection: a live institutional debate whose third path — easing through the plumbing while the rate stands still — would not merely support the metal but change its response function, shifting the market's attention from the level of rates to the integrity of the monetary-fiscal boundary itself. The flow anatomy: selling dominated by the forced and the mechanical, the composition that has historically reversed fastest, with the one fundamental seller's thesis resting on precisely the policy outcome the third path forecloses. The structural bid: a price-insensitive official buyer of a quarter of mine supply that existed in no prior episode, accumulated through the decline. And the industry itself: record margins, fortress balance sheets, shrinking share counts and capitulation-grade sentiment — a combination that has never previously coincided with a drawdown of this depth.

Honesty requires the standing counter-case, and 1991 supplies it precisely: real rates positive and rising, an energy shock that reversed quickly, an improving fiscal position, and a monetary-fiscal boundary markets regarded as inviolable. All four held then; gold went nowhere for a decade and its producers fared worse. Their modern equivalents — a policy rate driven decisively above inflation and held there, oil retracing its entire conflict premium, credible deficit reduction, and a June Federal Reserve that strengthens rather than softens the boundary of Section 4 — are observable conditions, not matters of opinion, and the disciplined reader will watch them rather than the headlines. What can be said without forecast is this: the conditions of 1991 are, at the time of writing, the opposite of the conditions observed; and in the four prior episodes when sentiment, flows, margins and history aligned as they presently do, the period that followed rewarded those who had done their reading before the turn, not after it. The long view exists so that, when the pattern resolves, it arrives as recognition rather than surprise.

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